Amendment of section 142.

71. In section 142 of the Income-tax Act,—

(*a*) for sub-section (2A), the following sub-section shall be substituted, namely:—
"(2A) If, at any stage of the proceedings before him, the Assessing Officer, having regard to the nature and complexity of the accounts, volume of the accounts, doubts about the correctness of the accounts, multiplicity of transactions in the accounts or specialised nature of business activity of the assessee, and the interests of the revenue, is of the opinion that it is necessary so to do, he may, with the previous approval of the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner, direct the assessee to get either or both of the following, namely:—

(*i*) to get the accounts audited by an accountant, as defined in the *Explanation* below sub-section (2) of section 288, nominated by the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner in this behalf and to furnish a report of such audit in the prescribed form duly signed and verified by such accountant and setting forth such particulars, as may be prescribed, and such other particulars as the Assessing Officer may require;

(*ii*) to get the inventory valued by a cost accountant, nominated by the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner in this behalf and to furnish a report of such inventory valuation in the prescribed form duly signed and verified by such cost accountant and setting forth such particulars, as may be prescribed, and such other particulars as the Assessing Officer may require:

Provided that the Assessing Officer shall not direct the assessee to get the accounts so audited or inventory so valued unless the assessee has been given a reasonable opportunity of being heard.";

(*b*) in sub-section (2D),—

(*i*) for the words, brackets, figure and letter "audit under sub-section (2A) (including the remuneration of the accountant)", the words, brackets, figure and letter "audit or inventory valuation under sub-section (2A) (including the remuneration of the accountant or the cost accountant, as the case may be)" shall be substituted;

(*ii*) in the proviso,—

(*I*) for the words "audit under", the words "audit or inventory valuation under" shall be substituted;

(*II*) for the words and brackets "such audit (including remuneration of the accountant)", the words and brackets "such audit or inventory valuation (including the remuneration of the accountant or the cost accountant, as the case may be)" shall be substituted;

(*c*) in sub-section (3), after the word "audit", the words "or inventory valuation" shall be inserted;

(*d*) after sub-section (4), the following *Explanation* shall be inserted, namely:—
'*Explanation*.—For the purposes of this section, "cost accountant" means a cost accountant as defined in clause (*b*) of sub-section (1) of section 2 of the Cost and Works Accountants Act, 1959 (23 of 1959) and who holds a valid certificate of practice under sub-section (1) of section 6 of the said Act.'.